

**MGT503 Principles of Management - Virtual University of Pakistan Solved MCQs
From Quiz # 4
MGT503 Quiz no.4**

**06-01-2012
Solved by Schnoor**

When the strength provides superior and unique customer value and is difficult to imitate then the distinctive competence creates a sustainable _____.

Competitive advantage
Scope
Resource deployment
Effective strategy

Dell Company sells the variety of products like computers, laptops, accessories over the internet. Dell is engaged in

Intranet
Extranet
E-commerce
E- Business

The people who work under the first line managers are often called by all of the following names EXCEPT:

Non managers
Supervisors
Skilled workers
Semi skilled workers

A plan developed to carry out a course of action that is not likely to be repeated in the future is called:

Single-use plan
Specific plan
Reaction plan
Directional plan

The leader of an organization performs _____, as per Mintzberg.

An Interpersonal role
An Informational role
A Decisional role

All of the given options

A manager transmits the information outside the organization. He is performing which of the following role?

Spokesperson

Representative
Disseminator
Agent

Which of the following skill is most essential to get most out of the people?

Technical skill
Human skill
Conceptual skill
Mechanical skill

The degree to which jobs are standardized and guided by rules and procedures is called:

Work specialization
Centralization
Decentralization
Formalization

Which factor has been the most rapidly changing component in an organization's general environment in the past quarter-century?

Global
Economic
Social
Technological
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Monitoring organizational progress towards goal attainment is called:

Planning
Organizing
Leading
Controlling

Question # 11 of 20 (Start time: 09:04:09 PM)

Which one of the following individuals is most closely associated with scientific management?

Frederick Taylor
Mary Parker Follett
Harold Koontz
Max Weber

Question # 12 of 20 (Start time: 09:04:58 PM)

Which of the following means that you achieve the best possible balance among several goals?

Sacrificing
Satisficing

Minimizing
Optimizing

PERT Chart assists in _____ the tasks within an organization.

Budgeting
Scheduling
Evaluating
Finalizing

Question # 14 of 20 (Start time: 09:06:13 PM)

As a transportation manager you are supposed to select transportation routes to minimize shipping cost. Which optimum technique will be used?

Forecasting
Project management
Budgeting
Linear programming

Question # 15 of 20 (Start time: 09:06:51 PM)

The process of monitoring performance, comparing it with goals and correcting any significant deviations is known as:

Planning
Organizing
Leading
Controlling

Question # 16 of 20 (Start time: 09:07:26 PM)

Nestle and ICI have taken steps to address human rights issues in their overseas factories. This represent that these companies have

Social obligation
Social Screening
Socially responsibility
Social responsiveness

Question # 17 of 20 (Start time: 09:08:05 PM)

Asma, a new manager at XYZ Inc. primarily worries about assembling and coordinating the human, financial, physical, and other resources needed to achieve her goals. Which function is Asma primarily concerned about?

Organizing
Controlling
Planning
Leading

Question # 18 of 20 (Start time: 09:09:02 PM)

The set of strengths, characteristics and qualities including skills, technologies, or resources that distinguish a firm from its competitors is called:

Scope

Distinctive Competency

Resource deployment

Effective strategy

Question # 19 of 20 (Start time: 09:09:33 PM)

All of the following are the characteristics of an organization EXCEPT:

People

Product

Purpose

Structure

Question # 20 of 20 (Start time: 09:10:22 PM)

Most of the countries in the world are moving towards globalization all of the following reasons EXCEPT:

For free market economy

For liberalization in trade

Increase efficiency

Refutation of economic power

Which of the following management thinker created a role classification system based on how managers spend their time at work to describe a manager's role?

Select correct option:

Peter Brabeck-Letmathe

Abraham Maslow

Andrea Jung

Henry Mintzberg

The process of collaborative goal setting by a manager and subordinate; the extent to which goals are accomplished is a major factor in evaluating and rewarding the subordinate's performance. It is called:

Select correct option:

Management by objective

Management by resources

Management by authority

Management by system

Which of the following is the process of developing businesses to pursue trends and changes that no one else has seen before?

Select correct option:

Entrepreneurship

Division of labor

Evolution

E-commerce

What is the best term to describe the process of attempting to influence other people to attain the organization's objectives?

Planning
Organizing
Leading
Controlling

An organization that assigns specialists from different functional departments to work on one or more than one projects being led by project managers is called -----

Team Organization
Virtual Organization
Matrix organization
Learning Organization

Activities such as taking visitors to dinner and attending ribbon cutting ceremonies come under which of the following management role?

Leader
Liaison
Figurehead
Negotiator

The degree to which decision making is confined at a single point in an organization is described as _____.

Unity of command
Chain of command
Span of management
Centralization

Global competition, accelerated product development by competitors, and increased demands by customers for better service have encouraged organizations to become more _____.

Organic
Mechanistic
Technologically pure
Task oriented

The idea that employees should also share the profit of organization was given by:

Select correct option:

Frederick Taylor
Robert Owen
Charles Babbage
W. Edwards Deming

Plant managers come under which of following management levels?

First-line managers
Non-managerial employees
Middle managers
Top managers

When Shumaila is comparing actual sales figures with goals established earlier to see if her department met the target, she is performing which of the following functions?

Planning
Organizing
Leading
Controlling

Which one of the following ethical approaches exemplifies the belief that every person has fundamental human rights that should be respected as well as protected?

Select correct option:

Justice approach
Rights approach
Individualism approach
Utilitarianism approach

_____, identifies the order of activities to be performed in order to achieve a particular goal.

Select correct option:

Budgeting
Linear programming
Break-even analysis
Scheduling

All levels of management between the supervisory level and the top level of the organization are termed as:

Middle managers
First-line managers
Supervisors
Foremen

A situation in which an organization is not implementing valuable strategies that are being implemented by competing organization is called:

Competitive disadvantage
Distinctive competencies
Competitive edge
Competitive parity

A budget is an example of which of the following plan?

Strategic plan
Single use plan
Informal plan
Standing plan

The management function that specifies goals to be achieved and deciding in advance the appropriate actions to achieve those goals is:

Leading
Controlling

Organizing
Planning

_____ is a situation that offers a strong potential for significant organizational gain if appropriate actions are taken

Crises problem

Opportunity problem

None crises problem

None of above

Pakistan Federal government has passed disabilities act of 2005 to protect rights of disable persons and to give them flexibility in job. This comes under which of the following environmental sub context

Economic

Socio cultural

Political/legal

Technological

Which of the following statement best describes Social Obligation?

Select correct option:

Firm's capacity to adapt changing social condition

Applying social criteria to investment decisions

Firm's obligation pursue long term goals that are good for society

Firm's obligation to meet its economic & legal responsibilities

Question # 1 of 20 (Start time: 09:37:01 PM) Total Marks: 1

Which of the following view is concerned with respecting and protecting individual liberties and privileges such as the rights to privacy, freedom of conscience, free speech, life and safety, and due process?

Select correct option:

Utilitarian view

Rights view

Theory of justice view

Integrative social contracts theory view

Question # 2 of 20 (Start time: 09:38:11 PM) Total Marks: 1

Communication should be:

Select correct option:

From Top to Bottom level

From Bottom to top

2 way

Question # 3 of 20 (Start time: 09:39:05 PM) Total Marks: 1

Which type of environment is best suited for mechanistic organizations?

Select correct option:

Dynamic

Manufacturing

Service

Stable

Question # 4 of 20 (Start time: 09:40:13 PM) Total Marks: 1

Global competition, accelerated product development by competitors, and increased demands by customers for better service have encouraged organizations to become more _____.

Select correct option:

Organic

Mechanistic

Technologically pure

Task oriented

Question # 5 of 20 (Start time: 09:41:37 PM) Total Marks: 1

The process through which raw materials changed into consumer products is termed as:

Select correct option:

Development process

Transformation process

Marketing process

Procurement process

Question # 6 of 20 (Start time: 09:42:36 PM) Total Marks: 1

The best way to characterize management is to say that it is:

Select correct option:

Part of the economy

An activity or process

An overcrowded career field

One of the chief difficulties for most firms

Question # 7 of 20 (Start time: 09:44:09 PM) Total Marks: 1

The idea that employees should also share the profit of organization was given by:

Select correct option:

Frederick Taylor

Robert Owen

Charles Babbage

W. Edwards Deming

Question # 8 of 20 (Start time: 09:45:22 PM) Total Marks: 1

Computers and campus facilities given to a university are called its:

Select correct option:

Human resources

Financial resources

Physical resources

Information resources

Question # 9 of 20 (Start time: 09:46:54 PM) Total Marks: 1

Which is the most common cause of business failure?

Select correct option:

Insufficient capital

Unstable market

Insufficient experience

Poor entrepreneurship

Question # 10 of 20 (Start time: 09:48:20 PM) Total Marks: 1

GANTT Chart is a tool of:

Select correct option:

Budgeting

Linear programming

Break-even analysis

Scheduling

Question # 11 of 20 (Start time: 09:49:13 PM) Total Marks: 1

Transformation process within a system transfers:

Select correct option:

Raw materials into inputs

Inputs into raw materials

Output into finished goods

Inputs into finished goods

Question # 12 of 20 (Start time: 09:50:32 PM) Total Marks: 1

Sales responsibilities divided into the Southwest, Midwest, southern, northern, and western regions would be an example of what type of departmentalization?

Select correct option:

Product

Geographic

Process

Outcome

Question # 13 of 20 (Start time: 09:51:24 PM) Total Marks: 1

In the MBO system:

Select correct option:

Objectives are determined by management
Goals are only reviewed at the time of completion
Goals are used as controls

Question # 14 of 20 (Start time: 09:52:53 PM) Total Marks: 1
An organic organizational structure is characterized by-----
Select correct option:

Minimal formalization
Rigid departmentalization
Narrow spans of control
High formalization

Question # 15 of 20 (Start time: 09:54:22 PM) Total Marks: 1
In XYZ Company HR director has negotiated with striking employees who were demanding for increase in salaries due to inflation. He has performed the role of
Select correct option:
Leader
Negotiator
Liaison

Question # 16 of 20 (Start time: 09:55:53 PM) Total Marks: 1
All of following are elements of planning function EXCEPT
Establishing strategies
Developing Plans
Monitoring Performance
Coordinate activities

Question # 17 of 20 (Start time: 09:57:07 PM) Total Marks: 1
Which of the following statement best describes Social Obligation?
Firm's capacity to adapt changing social condition
Applying social criteria to investment decisions
Firm's obligation pursue long term goals that are good for society
Firm's obligation to meet its economic & legal responsibilities

Question # 18 of 20 (Start time: 09:57:53 PM) Total Marks: 1
In order to communicate, motivate and delegate a manager must have:
Political skills
Conceptual skills
Technical skills
Interpersonal skills

Question # 19 of 20 (Start time: 09:58:47 PM) Total Marks: 1
In the pyramid of levels of management, non-managerial staff is placed at/in:
Top
Middle

Bottom

None of the given options

Question # 20 of 20 (Start time: 09:59:42 PM) Total Marks: 1

How would you define the problem if all outcomes of every alternative are known?

Select correct option:

Bounded rationality

Unbounded rationality

Certainty

Uncertainty

The process of monitoring performance, comparing it with goals and correcting any significant deviations is known as:

Planning

Organizing

Leading

Controlling

Mr. A is a Manager on XYZ company; he has a reputation for being an open and honest person and understands how to motivate employees and customers, he said to have good _____ skills.

Sales

Political

Interpersonal

Technical

Someone who works with and through other people by coordinating their work activities to accomplish organizational goals is called:

A Very intelligent: Individual

A Supervisor of Production Work

A Manager

An operation Supervisor

XYZ Company has policy of employee's Job security, career progress and ensure that replacement are available to fill vacancies. This company is practicing which of the following principle.

Initiative

Remuneration

Esprit decops

Stability if tender of personnel

SWOT analysis divides organizational strength into two categories; Common strength and_____.

Strategic imitation

Competitive Parity

Distinctive Competencies

The Continues line if authority that extends from the upper level of management to the lowest levels of the organization is called:

Authority line of responsibility

Unity of Commerce

Responsibility factor

Chain of command

Which ethical approach guided by what will result in the greatest good for the greatest number of People?

Moral Rights Approach

Individual approach

Utilitarian Approach

Justice Approach

Plans that Provide guidelines form activities to be performed repeatedly like policy, procedure are called.

Single Use Plans

Standard Plans

Contingency Plan

Snor term Plams

Which is the most common cause of business failure?

Insufficient Capital

Unstable market

Insufficient experience

Poor Entrepreneurship

Reading of a business journal, publication on regular basis to gather information for upcoming business tends, this role is called

Disseminator

Liaison

Spokesperson

Monitor

Which of the following is the accountability for the achievement of objectives, the use of resources, and the adherence to organizational policy?

Power

Responsibility

Authority

Planning

Organizations can play role in addressing global environment issues through all of the following ways EXCEPT:

Greening of Management

Depletion of natural Resources

Fulfilling their Social Obligation

Avoiding industrial accidents

System Theory and Contingency Theory are related to which of the following

Classical theories

Betavoadde theories

Conterporary

_____ are large scale action plans of an organization for interacting with environment in order to achieve long term goals.

Objectives

Strategic Goals

Strategic

Actions

Hawthorne studies were a series of early experiments that focused on:

Select correct option:

Behavior in the workplace (NOT SURE)

Ethics in the workplace

Group norms

Interpersonal dynamics

Selecting an alternative in the decision-making process is accomplished by:

Select correct option:

Choosing the alternative with the highest score

Choosing the One You Like Best

Selecting the alternative that has the lowest price

Selecting the alternative that is the most reliable

A plan developed to carry out a course of action that is not likely to be repeated in the future is called:

Select correct option:

Single-use plan

Specific plan

Reaction plan

Direction plan

Concern for employee motivation is most closely associated with which of the following management approach?

Select correct option:

Bureaucracy

Organizational behavior

Scientific management

Systems

Interest rates, inflation rates, and stock market indexes are all examples of which of the factor of an organization's general environment?

Select correct option:

Economic

Political

Social

Technological

Which factor has been the most rapidly changing component in an organization's general environment in the past quarter-century?

Select correct option:

Global

Economic

Social

Technological

The process of monitoring performance, comparing it with goals and correcting any significant deviations is known as:

Select correct option:

Planning

Organizing

Leading
Controlling

When Usman decides to deploy employees to another department that is lagging behind in production, he is acting in which of the following roles?

Select correct option:

Spokesperson

Negotiator

Leader

Resource allocator

The greater the risk involves in making a decision, the greater the:

Select correct option:

Outcomes

Information available

Rewards

Uncertainty

Each subordinate should report to one and only one superior is called:

Select correct option:

Authority

Unity of command

Unity of direction

Order

Which of the following is part of the 14 principles of management identified by Henri Fayol?

Select correct option:

Scalar chain

Innovation

Efficiency

Motivation

A learning organization has developed its_____.

Select correct option:

Educational department to keep employees trained

Capacity to adapt and change

Barriers to entry of its markets

A sustainable competitive advantage that is easy to maintain

Which of the following is not a suggestion for motivating employees?

Select correct option:

Recognize individual differences

Makes goals very difficult to achieve

Match people to jobs
Individualize rewards

In Maslow's need hierarchy, a healthy work environment is an example of what type of need?

Select correct option:

Physiological

Esteem

Safety

Social

The plans which deal with fairly small set of activities are called:

Select correct option:

Strategic plan

Tactical plan

Operational plan

Personal plan

Which of the following is known as the process of getting activities completed efficiently and effectively with and through other people?

Select correct option:

Leading

Management

Supervision

Controlling

Which of the following describe(s) a global marketplace?

Select correct option:

The entire world is a marketplace

National borders are irrelevant

The potential for organizations to grow expands dramatically

All of the given options

The assignment of new or additional responsibilities to a subordinate is called:

Select correct option:

Coordination

Specialization

Delegation

Span of control

Which of the following management thinker created a role classification system based on how managers spend their time at work to describe a manager's role?

Select correct option:

Peter Brabeck-Letmathe

Abraham Maslow

Andrea Jung
Henry Mintzberg

Which expectancy theory linkage explains the degree to which a student desires a good job?

Select correct option:

Expectancy

Effort to performance

Input to outcome

Valence

The assignment of new or additional responsibilities to a subordinate is called:

Select correct option:

Coordination

Specialization

Delegation

Span of control

Which ethical approach is guided by what will result in the greatest good for the greatest number of people?

Select correct option:

Moral-Rights approach

Individual approach

Utilitarian approach

Justice approach

Low level management has a complete authority to make decisions in case of:

Select correct option:

Centralization

Decentralization

Scalar Chain

Order

Which one of the following individuals is most closely associated with scientific management?

Select correct option:

Frederick Taylor

Mary Parker Follett

Harold Koontz

Max Weber

Each subordinate should report to one and only one superior is called:

Select correct option:

Authority

Unity of command

Unity of direction

Order

There are many healthcare products manufacturers. XYZ Company manufactures only personal hygiene products. It markets such products deodorant, body powder, body creams, and exfoliates. Because it only stocks body care and personal hygiene products, it is using ____ strategy.

Select correct option:

Prospecting

Emergent

Focus

Cost leadership

When managers give goals to employees, they must always:

Select correct option:

Use employee-recognition as a reward

Provide feedback to the employees

Let the employees participate in setting the goals

All of the given options

The organization that has developed the capacity to continuously learn, adapt, and change is called:

Select correct option:

Virtual organization

Learning organization

Traditional organization

Bureaucratic organization

Your firm's attorney has which of the following power when giving legal advice?

Select correct option:

Legitimate

Status

Expert

Coercive

Which of the following is a function of how much decision-making authority is pushed down to lower levels in the organization?

Select correct option:

Departmentalization

Centralization
Span of control
Power

Organizations that are highly flexible and adaptive are described as which of the following?

Select correct option:

Organic

Mechanistic

Rational (NOT SURE)

Intuitive

A human resource manager attending a local Society for Human Resource Management meeting would be functioning in which of the following role?

Select correct option:

Informational

Leader

Liaison

Disseminator

Which type of environment is best suited for mechanistic organizations?

Select correct option:

Dynamic

Manufacturing

Service

Stable

The most outspoken advocate of the classical view of social responsibility is economist and Nobel prize winner:

Select correct option:

Carnegie Milton

Charles Darwin

Milton Freeman

Milton Friedman

In traditional goal setting, the goals are set at the top level of management and after that they:

Select correct option:

Become the responsibility of first-line management

Are broken down into sub goals for each level of the organization

All the efforts to achieve the goals are directed by top management

Are delegated to the next lower level to be achieved

Which of the management tasks is the most important for a supervisory manager?

Select correct option:

Planning

Organizing

Controlling

Staffing

A budget is an example of which of the following plan?

Select correct option:

Strategic plan

Single use plan

Informal plan

Standing plan

Which of the following is the final step in the decision-making process?

Select correct option:

Identifying the problem

Evaluating the decision's effectiveness

Identifying decision criteria

Selecting an alternative that can resolve the problem

The behavioral dimension of leadership involving the concern that the leader has for the feelings, needs, personal interest, problems, and well being of followers is referred to as which of the following?

Select correct option:

Consideration

Initiating structure

Autocratic

Democratic

What type of an organization actively creates, acquires, and transfers knowledge within itself and is able to modify its behavior to reflect new knowledge?

Select correct option:

Enlightened organization

Conceptualized organization

Learning organization

Modern organization

A primary benefit of MBO is:

Select correct option:

Avoid competition

Resistance against new entrance

Improve employee motivation

Increase resources

Functional departmentalization groups jobs by which of the following?

Select correct option:

Tasks they perform

Territories they serve

Products or services they manufacture or produce

Type of customer they serve

Henri Fayol, a French industrialist, first analyzed what managers do and divided that work into functions. The study of the management function that defines goals and establishes strategies to achieve them is called:

Select correct option:

Planning

Organizing

Leading

Controlling

Which one of the following items best reflects the extent to which a society places a high value on reducing risk and instability?

Select correct option:

Uncertainty avoidance

Power distance

Masculinity/femininity

Long-term/short-term orientation

When a manager made a decision and he is uncertain about the outcomes. His decision is likely to be:

Select correct option:

Of Poor Quality

Unacceptable

Successful

Risky

Forecasting techniques fall into which of the following two categories?

Select correct option:

Fixed asset and human capital

Predictive and confirmatory

Quantitative and qualitative

Empirical and conceptual

A plan developed to carry out a course of action that is not likely to be repeated in the future is called:

Select correct option:

Single-use plan

Specific plan

Reaction plan

Directional plan

The organization which has no interaction with its external environment is called:

Select correct option:

Open system

Closed system

Non-interactive system

Moderated system

Which famous management thinker was related with the development of "Theory X"?

Select correct option:

Douglas McGregor

Abraham Maslow

Frederick Herzberg

Chester Barnard

The management function that specifies goals to be achieved and deciding in advance the appropriate actions to achieve those goals is:

Select correct option:

Leading

Controlling

Organizing

Planning

Monitoring organizational progress towards goal attainment is called:

Select correct option:

Planning

Organizing

Leading

Controlling

Organizational culture is similar to an individual's:

Select correct option:

Skills

Personality

Motivation

Ability

Which of the following is NOT an example of an organization's general environment?

Select correct option:

Economic conditions

Political conditions

Social conditions

Who presented the Concept of Quality?

Select correct option:

Henri Fayol

Prof. Henry Mintzberg

Frank & Lillian Gilbreth

Prof. Edward Deming

In order to communicate, motivate and delegate a manager must have:

Select correct option:

Political skills

Conceptual skills

Technical skills

Interpersonal skills

Which of the following departmentalization is used more in recent years to better monitor the needs of customers and to respond to changes in those needs?

Select correct option:

Needs-based (NOT SURE)

Functional

Process

Customer

Which of the following is called output of a system?

Select correct option:

Services

Material

Human

Information resource

Who is credited for the theory of motivation based on the hierarchy of needs?

Select correct option:

Abraham Maslow

Douglas McGregor

Henri Fayol

Mary Parker Follett

Which of the following is NOT an example of a constituency that makes up the specific environment?

Select correct option:

Customers

Socio-cultural

Suppliers

Competitors

The SWOT approach assesses an organization's:

Select correct option:

Speed, Wants, Order, Timing

Studies, Workflows, Opportunities, Trials

Strengths, Weaknesses, Opportunities, Threats

Signs, Worries, Objectives, Techniques

An office supply firm that has three departments based upon retail, wholesale, and governmental customers is using which of the following types of departmentalization?

Select correct option:

Functional

Product

Customer

Geographic

To determine the _____, a manager must determine what is relevant or important in resolving the problem.

Select correct option:

Geocentric behavior needed

Number of allowable alternatives

Weighting of decision criteria

Decision criteria

A manager who strives to ensure the activities of the organization's employees are supported and blend well with those of individuals outside the firm could be said to hold which of the following interpersonal role within the company?

Select correct option:

Liaison

Disseminator

Figure head

Entrepreneur

(USMAN KHALID)

What would be the best description of plans that focus on the broad future of the organization and incorporate both external environmental demands and internal

resources into managers' actions?

Select correct option:

Operational plans

Tactical plans

Strategic plans

Holistic plans

Which of the following scientist is most closely associated with the Hawthorne studies?

Select correct option:

Adams

Mayo

Lawler

Barnard

When objectives are not written down or rarely verbalized, and the planning is general and lacks continuity, which of the following types of planning is used?

Select correct option:

Environmental planning

Economic planning

Informal planning

Formal planning

Which of the following is the power that rests on the leader's ability to punish or control?

Select correct option:

Reward power

Coercive power

Expert power

Referent power

Inspiring people to be high performer is called:

Select correct option:

Controlling

Leading

Planning

Organizing

Which of the following theory is currently the most widely accepted when describing employee motivation?

Select correct option:

Reinforcement

Three-need

Expectancy

Equity

Activities such as taking visitors to dinner and attending ribbon cutting ceremonies come under which of the following management role?

Select correct option:

Leader

Liaison

Figurehead

Negotiator

LG and Sony electronics agreed to cooperate on developing new technologies.

Representatives from each firm meet regularly to coordinate this new venture. Which of the following roles these managers are playing?

Select correct option:

Liaison

Leader

Disseminator

Spokesperson

A skill or capability that enables an organization to conceive of and implement its strategies is its:

Select correct option:

Strength

Weakness

Opportunity

Threat

The task environment of organizations consists of constituencies that have a direct impact on managers' decisions and actions. The main constituencies are made up of customers, suppliers, competitors, and _____.

Select correct option:

Legislators

Pressure groups

Employees

Lawyers

Set of processes involved in creating or determining the strategies of the organization is called:

Select correct option:

Strategy formulation

Strategy implementation

Strategy evaluation

Strategy imitation

What type of an organization actively creates, acquires, and transfers knowledge within itself and is able to modify its behavior to reflect new knowledge?

Select correct option:

Enlightened organization

Conceptualized organization

Learning organization

Modern organization

Which of the following is a general statement or understanding that guide or channelize thinking in decision making?

Select correct option:

Policy

Procedure

Rule

Project

Which of the following is a process that involves managers from all parts of the organization in the formulation of strategic goals?

Select correct option:

Strategic management

Strategic positioning

Strategic planning

Strategic organizing

Maslow's need hierarchy, a healthy work environment is an example of what type of need?

Select correct option:

Physiological

Esteem

Safety

Social

What would be the best description of plans that focus on the broad future of the organization and incorporate both external environmental demands and internal resources into managers' actions?

Operational plans

Tactical plans

Strategic plans

Holistic plans

Which of the following is NOT a key element of the Total Quality Management approach?

Focus on the customer

Employee involvement

Continuous improvement

Focus on the supplier

When call center managers spend much of their time monitoring customer calls and giving employees feedback about how to improve their dialogue with customers in the future, these managers are using which of the following skills?

Technical

Conceptual

Situational

Ethical

The process of selecting decision criteria is accomplished by:

Massaging the data that will support a given decision

Flipping a coin to produce a 50-50 chance of being right

Determining what is relevant in making the decision

Examining the difference in the opportunities available

Alternatives that an organization chooses from its operations across several industries and several markets is called:

Business-level strategy

Corporate-level strategy

Functional-level strategy

Market-level strategy

In the MBO system:

Objectives are determined by management

Goals are only reviewed at the time of completion

Goals are used as controls

Progress is periodically reviewed

Strategic plans cover a broader view of the organization and include the formulation of goals, whereas operational plans define ways to:

Maximize the organization's profits

Achieve the goals

Minimize the number of employees

Provide the most efficient methods of production

The first step in the decision-making process is which of the following?

Developing decision criteria

Allocating weights to the criteria

Analyzing alternatives

Identifying a problem

A skill or capability that enables an organization to conceive of and implement its strategies is its:

Strength

Weakness

Opportunity

Threat

The management function that specifies goals to be achieved and deciding in advance the appropriate actions to achieve those goals is:

Leading

Controlling

Organizing

Planning

The plans which deal with fairly small set of activities are called:

Strategic plan

Tactical plan

Operational plan

Personal plan

A budget is an example of which of the following plan?

Strategic plan

Single use plan

Informal plan

Standing plan

Which of the following can be defined as the art and science of formulating, implementing and evaluating cross-functional decisions that enable an organization to achieve its objectives?

Strategy formulation

Strategy evaluation

Strategy implementation

Strategic management

Which of the following is NOT one of the situational factors thought to influence the relationship between leader behavior and subordinate motivation to perform in the path-goal theory?

Preferences of the leader

Subordinate locus of control

Characteristics of the work group

Task structure

Social obligation is the obligation of a business to meet its:

Select correct option:

Social and technological responsibilities

Economic and social responsibilities

Technological and economic responsibilities

Economic and legal responsibilities

All of the following are the examples of the actions that can be taken in strategy implementation stage EXCEPT:

Select correct option:

Changing organization's pricing strategy

Developing new employee benefits

Transferring managers among divisions

Taking corrective action when needed

The method by which strategies are operational zed or executed within the organization is called:

Select correct option:

Strategy implementation

Strategy evaluation

Strategy formulation

Strategy imitation

The idea that employees should also share the profit of organization was given by:

Select correct option:

Frederick Taylor

Robert Owen

Charles Babbage

W. Edwards Deming

In some countries, such as Venezuela, titles, rank, and status carry a lot of weight.

These countries have a large:

Select correct option:

Power distance

Uncertainty avoidance

Short- versus long-term orientation

Individualism versus collectivism

Which of the following is associated with the classical view of social responsibility?

Select correct option:

Economist Robert Reich

Concern for social welfare

Stockholder financial return

Voluntary activities

Which of the following management thinker created a role classification system based on how managers spend their time at work to describe a manager's role?

Select correct option:

Peter Brabeck-Letmathe

Abraham Maslow

Andrea Jung

Henry Mintzberg

Which of the management tasks is the most important for a supervisory manager?

Select correct option:

Planning

Organizing

Controlling

Staffing

Forecasting techniques fall into which of the following two categories?

Select correct option:

Fixed asset and human capital

Predictive and confirmatory

Quantitative and qualitative

Empirical and conceptual

Which of the following theory is currently the most widely accepted when describing employee motivation?

Select correct option:

Reinforcement

Three-needs

Expectancy

Equity

A leader, such as Bill Gates of Microsoft, who can inspire followers above their own self-interests and can have a profound effect on their performance, are known as which of the following?

Select correct option:

Transactional leaders

Directive leaders

Informational leaders

Transformational leaders

A situation in which an organization is not implementing valuable strategies that are being implemented by competing organization is called:

Select correct option:

Competitive disadvantage

Distinctive competencies

Competitive edge

Competitive parity

Which of the following term is defined as a business firm's obligation, beyond that required by law and economics, to pursue long-term goals that are good for society?

Select correct option:

Social obligation

Social responsibility

Social screening

Values-based management

Feed Back of ____ is necessary to improve the quality of the product.

Select correct option:

Customers

Employees

Investors

All of the given options

Which of the following is the accountability for the achievement of objectives, the use of resources, and the adherence to organizational policy?

Select correct option:

Power

Responsibility

Authority

Planning

Which management theory focuses on managing the total organization?

Select correct option:

Scientific management

Administrative management

Behavioral management

Quantitative management

Communication should be:

Select correct option:

From Top to Bottom level

From Bottom to top

2 way

None of the given option

The following is the process of developing businesses to pursue trends and changes that no one else has seen before?

Select correct option:

Entrepreneurship

Division of labor

Evolution

E-commerce

A learning organization has developed its_____.

Select correct option:

Educational department to keep employees trained

Capacity to adapt and change

Barriers to entry of its markets

A sustainable competitive advantage that is easy to maintain

The greater the risk involves in making a decision, the greater the:

Select correct option:

Outcomes

Information available

Rewards (NOT SURE)

Uncertainty

A skill and capability held by numerous competing firms is called:

Select correct option:

Common strength

Competitive edge

Competitive parity

Distinctive competencies

The quantitative approach has contributed directly in the areas of:

Planning and control

Control and leading

Organizing and control

Planning and leading

Which of the following early advocates of organizational behavior was the first to argue that organizations were open systems?

Robert Owens

Hugo Munsterberg

Mary Parker Follett

Chester Barnard

The people at the bottom of the organization generally deal with repetitive and familiar problems such as workers who are late or machinery that breaks down.

As a result, most of the decisions made by first line supervisors are:

Programmed decisions

Ill-structured decisions

Novel decisions

Non-programmed decisions

The method by which strategies are operational zed or executed within the organization is called:

Strategy implementation

Strategy evaluation

Strategy formulation

Strategy imitation

The belief that businesses should be responsible because such actions are right for their own sake is known as which argument for social responsibility?

Public expectation

Ethical obligation

Public image

Discouragement of government regulation

THE DECISION-MAKING PROCESS

1. A discrepancy between an existing and a desired state of affairs is an opportunity.
(False; moderate; p. 134)
2. The first step in the decision-making process is identifying a problem.
(True; easy; p. 134)
3. The final step in the decision-making process is implementing the chosen alternative.
(False; moderate; p. 138)
4. It is possible that at the end of the decision-making process you may be required to start the decision process over again.
(True; easy; p. 138)
5. A decision criterion defines what is relevant in a decision.
(True; moderate; p. 136)
6. The step in the decision-making process that involves choosing a best alternative is termed *implementation*.
(False; moderate; p. 138)

THE MANAGER AS DECISION MAKER

7. Decision making is synonymous with managing.
(True; easy; p. 139)
8. Managerial decision making is assumed to be rational.
(True; moderate; p. 139)
9. One assumption of rationality is that we cannot know all of the alternatives.
(False; difficult; p. 139)
10. Accepting solutions that are “good enough” is termed *satisfying*.
(False; easy; p. 140)
11. Managers tend to operate under assumptions of bounded rationality.
(True; moderate; p. 140)
12. Managers regularly use their intuition in decision making.
(True; easy; p. 141)

13. Rational analysis and intuitive decision making are complementary.
(True; moderate; p. 141)
14. A policy is an explicit statement that tells a manager what he or she ought or ought not to do.
(False; moderate; p. 142)
15. Programmed decisions tend to be repetitive and routine.
(True; easy; p. 142)
16. Rules and policies are basically the same.
(False; moderate; p. 142)
17. Nonprogrammed decisions are unique and nonrecurring.
(True; moderate; p. 143)
18. Most managerial decisions in the real world are fully nonprogrammed.
(False; easy; p. 143)
19. Organizational efficiency is facilitated by the use of programmed decision making.
(True; moderate; p. 142)
20. The ideal situation for making decisions is low risk.
(False; moderate; p. 142)
21. Risk is a situation in which a decision maker has neither certainty nor reasonable probability estimates.
(False; difficult; p. 144)
22. An optimistic manager will follow a maximin approach.
(False; moderate; p. 146)
23. People who have a low tolerance for ambiguity and are rational in their way of thinking are said to have a directive style.
(True; moderate; p. 147)
24. Decision makers with an analytic style have a much lower tolerance for ambiguity than do directive types.
(False; moderate; p. 147)
25. Individuals with a conceptual style tend to be very broad in their outlook and will look at many alternatives.
(True; moderate; p. 147)
26. Behavioral-style decision makers work well with others.
(True; easy; p. 147)

27. Risk is the condition in which the decision maker is able to estimate the likelihood of certain outcomes.

(True; easy; p. 144)

MANAGING WORKFORCE DIVERSITY

28. According to the boxed feature, "Managing Workforce Diversity," diverse employees tend to make decisions faster than a homogeneous group of employees.

(False; moderate; p. 149)

29. Programmed decision making facilitates organizational efficiency.

(True; moderate; p. 149)

Multiple-Choice Questions

For each of the following choose the answer that *most completely* answers the question.

THE DECISION-MAKING PROCESS

30. Decision making is (simplistically) typically described as which of the following?

- a. deciding what is correct
- b. putting preferences on paper
- c. choosing among alternatives
- d. processing information to completion

(c; moderate; p. 134)

31. A series of eight steps that begins with identifying a problem and decision criteria and allocating weights to those criteria; moves to developing, analyzing, and selecting an alternative that can resolve the problem; implements the alternative; and concludes with evaluating the decision's effectiveness is the _____.

- a. decision-making process
- b. managerial process
- c. maximin style
- d. bounded rationality approach

(a; easy; p. 134)

32. A(n) _____ is the existence of a discrepancy between existing and a desired state of affairs.

- a. opportunity
- b. solution
- c. weakness
- d. problem

(d; easy; p. 134)

33. The first step in the decision-making process is which of the following?

- a. developing decision criteria
- b. allocating weights to the criteria

- c. analyzing alternatives
- d. identifying a problem
(d; moderate; p. 134)

34. In identifying the problem, a manager _____.

- a. compares the current state of affairs with where they want to be
- b. expects problems to be defined by neon lights
- c. looks for discrepancies that can be postponed
- d. will not act when there is pressure to make a decision
(a; easy; p. 135)

35. The process of selecting decision criteria is accomplished by _____.

- a. massaging the data that will support a given decision
- b. flipping a coin to produce a 50-50 chance of being right
- c. determining what is relevant in making the decision
- d. examining the difference in the opportunities available
(c; challenging; p. 136)

36. Which of the following statements is true concerning problem identification?

- a. Problems are generally obvious.
- b. A symptom and a problem are basically the same.
- c. Well-trained managers generally agree on what is considered a problem.
- d. The problem must be such that it exerts some type of pressure on the manager to act.
- e. To be considered a problem, managers must be aware of the discrepancy but not have the resources necessary to take action.

(d; moderate; p. 134)

37. If all criteria in the decision making are equal, weighting the criteria _____.

- a. improves decision making when large numbers of criteria are involved
- b. is not needed
- c. produces excellent decisions
- d. improves the criteria
(b; easy; p. 136)

38. The final step in the decision-making process is to _____.

- a. pick the criteria for the next decision
- b. reevaluate the weightings of the criteria until they indicate the correct outcome
- c. evaluate the outcome of the decision
- d. reassign the ratings on the criteria to find different outcomes
(c; challenging; p. 138)

39. Which of the following must be present in order to initiate the decision-making process?

- a. plenty of time
- b. pressure to act
- c. a lack of authority
- d. a lack of resources

(b; moderate; p. 134)

40. To determine the _____, a manager must determine what is relevant or important to resolving the problem.
- a. geocentric behavior needed
 - b. number of allowable alternatives
 - c. weighting of decision criteria
 - d. decision criteria
- (d; moderate; p. 136)
41. Which of the following is the step in the decision-making process that follows identifying a problem and decision criteria?
- a. allocating weights to the criteria
 - b. analyzing the alternatives
 - c. selecting the best alternative
 - d. implementing the alternative
- (a; moderate; p. 136)**
42. In allocating weights to the decision criteria, which of the following is helpful to remember?
- a. All weights must be the same.
 - b. The total of the weights should sum to 1.0.
 - c. Every factor criterion considered, regardless of its importance, must receive some weighting.
 - d. Assign the most important criterion a score, and then assign weights against that standard.
- (d; difficult; p. 136)**
43. In Step 6 of the decision-making process, each alternative is evaluated by appraising it against the _____.
- a. subjective goals of the decision maker
 - b. criteria
 - c. assessed values
 - d. implementation strategy
- (b; moderate; p. 138)**
44. Selecting an alternative in the decision-making process is accomplished by _____.
- a. choosing the alternative with the highest score
 - b. choosing the one you like best
 - c. selecting the alternative that has the lowest price
 - d. selecting the alternative that is the most reliable
- (a; easy; p. 138)**
45. _____ includes conveying a decision to those affected and getting their commitment to it.
- a. selecting an alternative
 - b. evaluation of decision effectiveness
 - c. implementation of the alternatives
 - d. analyzing alternatives
- (c; moderate; p. 138)**
46. Which of the following is important in effectively implementing the chosen alternative in the decision-making process?
- a. getting upper-management support

- b. double-checking your analysis for potential errors
 - b. allowing those impacted by the outcome to participate in the process
 - d. ignoring criticism concerning your chosen alternative
- (c; moderate; p. 138)**

47. Which of the following is the final step in the decision-making process?
- a. identifying the problem
 - b. evaluating the decision's effectiveness
 - c. identifying decision criteria
 - d. selecting an alternative that can resolve the problem
- (b; easy; p. 138)**

48. Which of the following is important to remember in evaluating the effectiveness of the decision-making process?
- a. ignore criticism concerning the decision-making process
 - b. you may have to start the whole decision process over
 - c. Restart the decision-making process if the decision is less than 50 percent effective.
 - d. Ninety percent of problems with decision making occur in the implementation step.
- (b; difficult; p. 138)**

THE MANAGER AS DECISION MAKER

49. Managers are assumed to be _____; they make consistent, value-maximizing choices within specified constraints.
- a. rational
 - b. leaders
 - c. organized
 - d. satisficers
- (a; easy; p. 139)**

50. It is assumed that a perfectly rational decision maker _____.
- a. does not follow rational assumptions
 - b. does not consider value maximizing as an objective
 - c. offers inconsistent decisions
 - d. would be objective and logical
- (d; moderate; p. 139)**

51. Rational managerial decision making assumes that decisions are made in the best _____ interests of the organization.
- a. economic
 - b. pay-off
 - c. statistical
 - d. budgetary
- (a; moderate; p. 139)**

52. Managers can make rational decisions if _____.
- a. the problem is simple
 - b. the goals are clear
 - c. the alternatives are limited
 - d. all of the above
- (d; challenging; p. 140)**

53. Managers can make rational decisions if _____.
a. the costs of finding and evaluating alternatives is low
b. the organizational culture does not encourage risk taking
c. outcomes are concrete and measurable
d. a and c
(d; challenging; p. 140)
54. Which of the following is not a valid assumption about rationality?
a. the problem is clear and unambiguous.
b. a single well-defined goal is to be achieved.
c. preferences are clear.
d. preferences are constantly changing.
(d; difficult; p. 140)
55. In “bounded rationality,” managers construct _____ models that extract the essential features from problems.
a. multiple
b. binding
c. interactive
d. simplified
(d; difficult; p. 140)
56. According to the textbook, because managers can’t possibly analyze all information on all alternatives, managers _____, rather than _____.
a. maximize; satisfice
b. maximize; minimize
c. satisfice; minimize
d. satisfice; maximize
(d; moderate; p. 140)
57. When managers circumvent the rational decision-making model and find ways to satisfice, they are following the concept of _____.
a. jurisprudence
b. bounded rationality
c. least-squared exemptions
d. self-motivated decisions
(b; moderate; p. 140)
58. The type of decision making in which the solution is considered “good enough” is known as which of the following?
a. intuition
b. rationalization
c. maximizing
d. satisficing
(d; moderate; p. 140)

59. When a decision maker chooses an alternative under perfect rationality, she chooses a _____ decision, whereas under bounded rationality she chooses a _____ decision.

- a. minimizing; satisficing
- b. satisficing; maximizing
- c. maximizing; satisficing
- d. maximizing; minimizing

(c; difficult; p. 140)

60. An increased commitment to a previous decision despite evidence that it may have been wrong, is referred to as _____.

- a. economies of commitment
- b. escalation of commitment
- c. dimensional commitment
- d. expansion of commitment

(b; moderate; p. 141)

61. Managerial decisions are strongly influenced by _____.

- a. the organization's culture
- b. internal politics
- c. power considerations
- d. all of the above

(d; easy; p. 141)

62. Intuitive decision making is _____.

- a. not utilized in organizations
- b. a conscious process based on accumulated judgment
- c. making decisions based on experience, feelings, and accumulated judgment
- d. important in supporting escalation of commitment

(c; moderate; p. 141)

63. In studying intuitive decision making, researcher have found that _____.

- a. managers do not make decisions based on feelings or emotions
- b. managers use data from their subconscious mind to help make their decisions
- c. rational thinking always works better than intuitive
- d. accumulated experience does not support intuitive decisions

(b; moderate; p. 141)

64. According to the textbook, all of the following are aspects of intuition except _____.

- a. experienced-based decisions
- b. affect-initiated decisions
- c. cognitive-based decisions
- d. programmed decisions

(d; easy; p. 141)

65. According to the textbook, _____ are straightforward, familiar, and easily defined problems.

- a. poorly structured problems
- b. structured problems
- c. unique problems

d. nonprogrammed problems
(b; moderate; p. 142)

66. Structured problems align well with which type of decision making?

- a. programmed
 - b. satisficing
 - c. intuition
 - d. gut feeling
- (a; moderate; p. 142)**

67. The most efficient way to handle structured problems is through _____ decision making.

- a. linear
 - b. unique
 - c. focused
 - d. programmed
- (d; moderate; p. 142)**

68. _____ decision making is relatively simple and tends to rely heavily on previous solutions.

- a. Nonprogrammed
 - b. Linear
 - c. Satisficing
 - d. Programmed
- (d; moderate; p. 142)**

69. Programmed decision making tends to rely on which of the following?

- a. the problem solver's ability to think on his or her feet
 - b. the development of a clear set of alternative solutions
 - c. previous solutions
 - d. identification of the actual problem
- (c; easy; p. 142)**

70. A procedure _____.

- a. is an explicit statement detailing exactly how to deal with a decision
 - b. is a series of interrelated sequential steps to respond to a structured problem
 - c. is a set of guidelines that channel a manager's thinking in dealing with a problem
 - d. allows a manager to use broad decision-making authority
- (b; moderate; p. 142)**

71. A _____ is an explicit statement that tells a manager what he or she can or cannot do.

- a. procedure
 - b. policy
 - c. rule
 - d. solution
- (c; moderate; p. 142)**

72. A policy _____.

- a. typically contains an ambiguous term

- b. is used frequently when a manager faces a well-structured problem
- c. allows little discretion on the part of the manager
- d. offers strict rules as to how a problem should be solved
(a; moderate; p. 142)

73. Which of the following factors contrasts the difference between a policy and a rule?

- a. a policy establishes parameters
- b. a rule establishes parameters
- c. a policy is more explicit
- d. a rule is more ambiguous
(a; difficult; p. 142)

74. According to the textbook, a _____ typically contains an ambiguous term that leaves interpretation up to the decision maker.

- a. system
- b. rule
- c. solution
- d. policy
(d; moderate; p. 142)

75. A business school's statement that it "strives for productive relationships with local organizations" is an example of a _____.

- a. rule
- b. policy
- c. procedure
- d. commitment
(b; moderate; p. 142)

76. Poorly structured problems _____.

- a. are easily solved
- b. present new or unusual circumstances
- c. force managers to deal with incomplete or ambiguous information
- d. b and c
(d; moderate; p. 143)

77. Nonprogrammed decisions are best described as _____.

- a. recurring, but difficult to make
- b. very similar to problems in other areas of the organization
- c. requiring more aggressive action on the decision maker's thought processes
- d. unique and nonrecurring
(d; moderate; p. 143)

78. When problems are _____, managers must rely on _____ in order to develop unique solutions.

- a. well structured; nonprogrammed decision making
- b. well structured; pure intuition
- c. poorly structured; nonprogrammed decision making
- d. poorly structured; programmed decision making
(c; moderate; p. 143)

79. Which of the following terms is associated with nonprogrammed decisions?

- a. unique
- b. recurring

- c. routine
 - d. repetitive
- (a; moderate; p. 143)**

80. Lower-level managers typically confront what type of decision making?
- a. unique
 - b. nonroutine
 - c. programmed
 - d. nonprogrammed
- (c; moderate; p. 142)**

Chapter 6 Decision Making: The Essence of the Manager's Job

81. When lower-level managers deal with well-structured problems and they rely on procedures and rules to solve the problems, this refers to a relationship between types of problems and types of decisions known as _____.

- a. preprogramming
 - b. focused decision making
 - c. integration
 - d. separation
- (c; moderate; p. 143)**

82. Which of the following is likely to make the most programmed decisions?

- a. the CEO of PepsiCo.
 - b. the vice president of General Motors Cadillac Division.
 - c. the head of the Minute Maid Division at Coca-Cola.
 - d. the manager of the local McDonald's.
- (d; easy; p. 142)**

83. Which of the following is an accurate statement concerning the impact of programmed decisions on organizations?

- a. They maximize the need for managers to exercise discretion.
 - b. They decrease the need for high-cost managerial talent.
 - c. They increase the amount of judgment needed by managers.
 - d. They decrease organizational efficiency.
- (b; moderate; p. 142)**

84. _____ is a situation in which a manager can make accurate decisions because the outcome of every alternative is known.

- a. Certainty
 - b. Risk
 - c. Uncertainty
 - d. Maximax
 - e. Maximin
- (a; easy; p. 144)**

85. If an individual knows the price of three similar cars at different dealerships, he or she is operating under what type of decision-making condition?

- a. risk
 - b. uncertainty
 - c. certainty
 - d. factual
- (c; easy; p. 144)**

86. Nonprogrammed decisions are typically made under a condition of _____.

- a. certainty
 - b. low levels of risk
 - c. uncertainty
 - d. reliability
- (c; moderate; p. 145)

87. Organizational efficiency is improved by the use of _____.

- a. programmed decisions
 - b. nonprogrammed decisions
 - c. less planning
 - d. lower expectations and lower demands by top manager
- (a; moderate; p. 142)

88. A retail clothing store manager who estimates how much to order for the current spring season based on last spring's outcomes is operating under what kind of decision-making condition?

- a. seasonal
 - b. risk
 - c. uncertainty
 - d. certainty
- (b; difficult; p. 142)

89. _____ is a situation in which a decision maker has neither certainty nor reasonable probability estimates available.

- a. Certainty
 - b. Risk
 - c. Uncertainty
 - d. Maximax
- (c; easy; p. 145)

90. A person at a horse racetrack who bets all of his/her money on the odds-based long shot to "win" (rather than "place" or "show") is making what kind of choice?

- a. maximax
 - b. maximin
 - c. minimax
 - d. minimin
- (a; moderate; p. 146)

91. Which of the following best describes "maximizing the minimum possible payoff"?

- a. maximax
 - b. maximin
 - c. minimax
 - d. minimin
- (b; moderate; p. 146)

92. An individual making a "maximin" type of choice has what type of psychological orientation concerning uncertain decision making?

- a. optimist
 - b. realist
 - c. pessimist
 - d. satisficer
- (c; moderate; p. 146)

93. Which of the following would best describe the psychological orientation of an individual making a "maximax" type of choice?

- a. optimist
 - b. realist
 - c. pessimist
 - d. satisficer
- (a; moderate; p. 146)

94. Optimistic managers could be expected to utilize their maximax orientation when they

- _____.
- a. maximize the maximum payoff
 - b. maximize the minimum payoff
 - c. minimize the maximum regret
 - d. minimize the minimum regret
- (a; easy; p. 146)

95. According to the textbook, a manager who desires to minimize his or her maximin “regret” will opt for a _____ choice.

- a. maximax
 - b. maximin
 - c. minimax
 - d. minimin
- (c; moderate; p. 146)

96. All of the following are mentioned in the textbook as decision-making styles except

- _____>
- a. directive
 - b. egotistical
 - c. analytic
 - d. conceptual
- (b; moderate; p. 147)

THE DECISION-MAKING PROCESS

Decisions, Decisions (Scenario)

Sondra needed help. Her insurance company’s rapid growth was necessitating making some changes, but what changes? Should they add to the existing information system? Buy a new system? She was given the responsibility of analyzing the company’s present information system and decide what the company should do that would give them plenty of room. She was confused and needed help in making the correct decision.

97. According to the decision-making process, the first step Sondra should take would be to

- _____.
- a. analyze alternative solutions
 - b. identify decision criteria
 - c. evaluate her decision’s effectiveness
 - d. identify the problem
- (d; moderate; p. 134)

98. According to the decision-making process, the second step Sondra should take would be to

- _____.
- a. analyze alternative solutions
 - b. identify decision criteria
 - c. evaluate her decision’s effectiveness

d. allocate weights to the criteria
(b; moderate; p. 136)

99. The very last step Sondra should take, according to the decision-making process, would be to _____.

- a. analyze alternative solutions
 - b. select alternatives
 - c. implement the alternative
 - d. evaluate the decision's effectiveness
- (d; easy; p. 138)

100. When Sondra is conveying her decision to those affected and getting their commitment to it, she is performing which step in the decision-making process?

- a. analyzing alternative solutions
 - b. selecting alternatives
 - c. implementing the alternative
 - d. identifying the problem
- (c; moderate; p. 138)

101. Allocating weights to the criteria is the step in the decision-making process that occurs between identifying the decision criteria and _____.

- a. developing the alternatives
 - b. selecting alternatives
 - c. implementing the alternative
 - d. identifying the problem
- (a; difficult; p. 138)

Colleen is a student, and her older brother has loaned her an old car. The car is in need of several repairs before she will feel comfortable driving it.

102. Colleen needs a vehicle, but she has to decide if the vehicle is worth repairing. She is facing a(n) _____, a discrepancy between an existing and a desired state of affairs.

- a. alternative
 - b. weighted problem set
 - c. problem
 - d. certainty avoidance situation
- (c; moderate; p. 134)

103. In talking with an automotive repair person, Colleen needs to prioritize the repairs. Her first concern is safety of the vehicle. This step in the decision-making process is called _____.

- a. weighting the decision criteria
 - b. analysis of alternatives
 - c. identification of decision criteria
 - d. selection of an alternative
- (c; moderate; p. 136)

104. Colleen decides to have all of the problems fixed on the car. She assumes that the repair person has found all the problems and that there will be no problem correcting the imperfections within a specified budget. This is an example of a _____ decision.

- a. parochial
 - b. irrational
 - c. ethical
 - d. rational
- (d; challenging; p. 139)

105. Colleen's brother has a different view of the repairs. He assumes that the repair person is

using the best information available, but there may be other unexpected repairs that might surface and that a higher budget might be more reasonable. He is using _____.

- a. rational decision making
 - b. risk avoidance
 - c. bounded rationality
 - d. Stage 4 decision making
- (c; challenging; p. 140)

106. Colleen's brother feels the car is worth repairing because he has owned several cars made by the same manufacturer as this car, and he has driven this car for several years. He is using _____ to decide the car has value despite of its need of repair.

- a. intuitive decision making
 - b. selective coordination of thought processes
 - c. sunk costs
 - d. return on investment
- (a; challenging; p. 141)

THE MANAGER AS A DECISION MAKER

The First Job (Scenario)

Upon graduation, you search for a job with the university's job placement center. Although you have studied and prepared to work in an advertising agency, the first job that you are offered is a supervisor in a manufacturing company working the afternoon shift from 3:00 P.M. until 11:00 P.M.

107. Although the job in the manufacturing firm was good enough, you acted in a _____ manner by accepting a job.

- a. self-righteous
 - b. boundedly rational
 - c. satisfactory
 - d. liberal
- (b; moderate; p. 140)

108. If you had made a larger search using the Internet and other employment search processes, you might have been able to find more employment opportunities. This would have been a more _____ decision-making process.

- a. nonprogrammable
 - b. uncertain
 - c. risky
 - d. perfectly rational
- (d; moderate; p. 139)

109. Under bounded rationality, you would be expected to search for a job by _____.

- [a. looking at all the opportunities that can be analyzed in the time available](#)
- b. looking at all the opportunities available
- c. looking "outside the box" in your search
- d. analyzing all the opportunities until you find the perfect job

110. If you use a shortened process of searching for a job, it is likely you _____ rather than maximized in your decision process.

- a. minimized
- b. rationalized

- c. satisfied
 - d. agreed
- (c; challenging; p. 140)

111. During your job search, you depend on _____ decision making by making your decision on accumulated judgment and experience.

- a. experiential
- b. legal
- [c. intuitive](#)
- d. formidable

THE MANAGER AS DECISION MAKER

Is the Picture Clear? (Scenario)

Sharon was the regional manager of a large cable television company. She faced many problems and decisions daily, such as how to price each market, who to hire, what kind of technology she should purchase, and how she should handle increasing customer complaints. She needed some help sorting these issues out.

112. Unfortunately, Sharon also faces issues containing information that is ambiguous or incomplete, such as what kind of technology to purchase. These are known as _____ problems.

- a. poorly structured
 - b. variable
 - c. random
 - d. hit-and-miss
- (a; moderate; p. 142)

113. When a customer calls and requests a refund for a partial month's usage of cable, the fact that such situations are routine and most likely have a standard response would make the response a _____ decision.

- a. standard
 - b. routine
 - c. policy
 - d. programmed
- (d; moderate; p. 142)

114. Sometimes Sharon follows a _____, a series of interrelated sequential steps for responding to a structured problem.

- a. rule
- b. policy
- [c. procedure](#)
- d. suggestion

115. Sometimes Sharon instructs her local managers to follow _____ when confronted with problem situations. These establish parameters for the manager making the decision rather than specifically stating what should or should not be done.

- a. rules
 - b. procedures
 - c. policies
 - d. orders
- (c; moderate; p. 142)

Decision-Making Conditions (Scenario)

Sandy Jo is the manager for TrucksRUs, a medium-sized hauling service located in the Southeast. She is

responsible for scheduling trucks, initiating new routes, and staffing both existing and new routes. She is currently struggling with existing information about the profitability of existing and future truck routes.

116. Joe, Sandy Jo's best driver, tells her that he believes he can estimate that there is a 75 percent probability that they can get the business of Pork Brothers, Inc. if they initiate a truck route through rural North Carolina. Joe is operating under a condition of _____.

- a. certainty
- [b. risk](#)
- c. uncertainty
- d. maximax

117. Sandy Jo can make accurate decisions if she is willing to pay \$5,000 for research about the profitability of various truck routes. If she pays for the research, she believes that she is operating under a condition of _____.

- a. certainty
 - b. risk
 - c. uncertainty
 - d. maximax
- (a; difficult; p. 144)

118. Sandy Jo knows that she is operating in an uncertain environment. She is basically an optimist, and we would, therefore, expect her to follow a _____ strategy.

- a. certainty
 - b. risk
 - c. uncertainty
 - d. maximax
- (d; moderate; p. 146)

119. Sandy Jo knows that she is operating in an uncertain environment. She is basically a pessimist, and we would, therefore, expect her to follow a _____ strategy.

- a. certainty
 - b. risk
 - c. minimax
 - d. maximin
- (d; moderate; p. 146)

120. Sandy Jo wishes to minimize her regret and will probably opt for a _____ strategy.

- a. certainty
 - b. risk
 - c. minimax
 - d. maximax
- (c; moderate; p. 146)

Managing Your Career (Scenario)

Michelle has a new job and is learning to perform the tasks assigned to her. Different situations demand different decision-making processes.

121. Michelle finds a situation that instructs her in specific, interrelated, sequential steps to respond to a problem. This is referred to as a _____.

- a. rule
 - b. policy
 - c. broad guideline
 - d. procedure
- (d; challenging.; p. 142)

122. Michelle finds a company directive that specifically restricts her from taking certain actions. This is a _____.

- a. rule
 - b. policy
 - c. broad guideline
 - d. procedure
- (a; moderate; p. 142)

123. As she learns the general guidelines of the job, Michelle is given more decision-making authority. The guidelines establish parameters for decision making and are referred as a

- _____.
- a. rule
 - b. policy
 - c. broad guideline
 - d. procedure
- (b; challenging; p. 142)

124. Michelle eventually finds a problem that has no cut-and-dry solution. The problem is unique and will never occur again. This problem is referred to as _____.

- a. flexible
 - b. programmed
 - c. adaptable
 - d. nonprogrammed
- (d; moderate; p. 143)

Essay Questions

THE DECISION-MAKING PROCESS

125. In a short essay, list and discuss the eight steps in the decision-making process.

Answer

- a. Step 1: Identifying a problem—the decision-making process begins with the existence of a problem or a discrepancy between an existing and a desired state of affairs. However, a discrepancy without pressure to take action becomes a problem that can be postponed.
- b. Step 2: Identify decision criteria—once the manager has identified a problem that needs attention, the decision criteria important to resolving the problem must be identified. That is, managers must determine what's relevant in making a decision.
- c. Step 3: Allocating weights to the criteria—at this step, the decision maker must weigh the items in order to give them the correct priority in the decision. A simple approach is to give the most important criterion a weight of 10 and then assign weights to the rest against that standard.
- d. Step 4: Developing alternatives—the fourth step requires the decision maker to list the viable alternatives that could resolve the problem. No attempt is made in this step to evaluate the alternative, only to list them.
- e. Step 5: Analyzing alternatives—once the alternatives have been identified, the decision maker must critically analyze each one. From this comparison, the strengths and weaknesses of each alternative become evident.
- f. Step 6: Selecting an alternative—the sixth step is the important act of choosing the best alternative from among those considered. All the pertinent criteria in the decision have now been determined and weighted, and the alternatives have been identified and analyzed.
- g. Step 7: Implementing the alternative—implementation involves conveying the decision to those affected by it and getting their commitment to it. If the people who must carry out a decision participate in the process, they're more likely to enthusiastically support the outcome than if they are just told what to do.
- h. Step 8: Evaluating decision effectiveness—the last step in the decision-making process involves appraising the outcome of the decision to see if the problem has been resolved. Did the alternative chosen and implemented accomplish the desired result? If not, the manager may consider returning to a

previous step or may even consider starting the whole decision process over.
(difficult; p. 134)

THE MANAGER AS DECISION MAKER

126. In a short essay, discuss the assumptions of rationality and the validity of those assumptions.

Answer

A decision maker who was perfectly rational would be fully objective and logical. He or she would carefully define a problem and would have a clear and specific goal. Moreover, making decisions using rationality would consistently lead toward selecting the alternative that maximizes the likelihood of achieving that goal. The assumptions of rationality apply to any decision. Rational managerial decision making assumes that decisions are made in the best economic interests of the organization. That is, the decision maker is assumed to be maximizing the organization's interests, not his or her own interests. Managerial decision making can follow rational assumptions if the following conditions are met: The manager is faced with a simple problem in which the goals are clear and the alternatives limited, the time pressures are minimal, the cost of seeking out and evaluating alternatives is low, the organizational culture supports innovation and risk taking, and outcomes are relatively concrete and measurable. However, most decisions that managers face in the real world don't meet all those tests.
(moderate; p. 139)

127. In a short essay, discuss bounded rationality and satisficing.

Answer

Despite the limits to perfect rationality, managers are expected to follow a rational process when making decisions. However, certain aspects of the decision-making process are not realistic as managers make decisions. Instead, managers tend to operate under assumptions of bounded rationality; that is, they behave rationally within the parameters of a simplified decision-making process that is limited by an individual's ability to process information. Managers satisfice, rather than maximize, because they can't possibly analyze all information on all alternatives. That is, they accept solutions that are "good enough." They are being rational within the limits of their information-processing ability.
(easy; p. 140)

128. In a short essay, discuss the difference between well-structured and poorly-structured problems. Include specific examples of each type of problem to support your answer. Next, discuss the type of decisions that would be used to address each of these problems.

Answer

a. Well-structured problems—the goal of the decision maker is clear, the problem is familiar, and information about the problem is easily defined and complete. Examples of these types of problems might include a customer wanting to return a purchase to a retail store, a supplier being late with an important delivery, a news team responding to an unexpected and fast-breaking event, or a college's handling of a student wanting to drop a class. Such situations are called well-structured problems because they are straightforward, familiar, and easily defined problems. In handling these problem situations, the manager uses a programmed decision. Decisions are programmed to the extent that they are repetitive and routine and to the extent that a definite approach has been worked out for handling them. Since the problem is well structured, the manager doesn't have to go to the trouble and expense of going through an involved decision process. Programmed decision making is relatively simple and tends to rely heavily on previous solutions.

b. Poorly-structured problems—these problems are new or unusual, and information for them is ambiguous or incomplete. For example, the selection of an architect to design a new corporate manufacturing facility in Bangkok is an example of a poorly-structured problem. When problems are poorly structured, managers must rely on nonprogrammed decision making in order to develop unique solutions. Nonprogrammed decisions are unique and nonrecurring. When a manager confronts a poorly-structured problem or one that is unique, there is no cut-and-dry solution. It requires a custom-made response through nonprogrammed decision making.
(difficult; p. 142)

129. In a short essay, discuss the differences between a procedure, a rule, and a policy. Include

specific examples of each to support your answer.

Answer

a. A procedure is a series of interrelated sequential steps that a manager can use for responding to a structured problem. The only real difficulty is in identifying the problem. Once the problem is clear, so is the procedure. For instance, a purchasing manager receives a request from the sales department for 15 PalmPilots for use by the company's customer service representatives. The purchasing manager knows that there is a definite procedure for handling this decision. The decision-making process in this case is merely executing a simple series of sequential steps.

b. A rule is an explicit statement that tells a manager what he or she can or cannot do. Managers frequently use rules when they confront a well-structured problem because they are simple to follow and ensure consistency. For example, rules about lateness and absenteeism permit supervisors to make disciplinary decisions rapidly and with a relatively high degree of fairness.

c. A policy provides guidelines to channel a manager's thinking in a specific direction. In contrast to a rule, a policy establishes parameters for the decision maker rather than specifically stating what should or should not be done. Policies typically contain an ambiguous term that leaves interpretation up to the decision maker. For instance, each of the following is a policy statement: "The customer always comes first and should always be satisfied," "We promote from within, whenever possible," and "Employee wages shall be competitive within community standards."

(moderate; p. 142)